

Done

Cambridge  
International  
AS & A Level

Cambridge Assessment International Education  
Cambridge International Advanced Subsidiary and Advanced Level

**ECONOMICS**

Paper 3 Multiple Choice

**9708/32**

**October/November 2019**

**1 hour 15 minutes**

Additional Materials: Multiple Choice Answer Sheet  
Soft clean eraser  
Soft pencil (type B or HB is recommended)

**READ THESE INSTRUCTIONS FIRST**

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO **NOT** WRITE IN ANY BARCODES.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

**Read the instructions on the Answer Sheet very carefully.**

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Zarak Mushtaq  
Solved with reasons

This document consists of **11** printed pages and **1** blank page.

- 1 Some multinational oil companies extracting oil in developing countries are now required to repair the damage they do to the environment. (External cost)

Which best describes the total costs incurred by the oil companies in such circumstances?

- A external costs  
☒ B private costs plus external costs  
 C social costs plus external costs  
 D social costs plus private costs

social cost = private cost + External cost

Doesn't exist

- 2 In an economy, no one can be made better off without making someone else worse off. operating at PPC!

What does not necessarily follow from this?

- A The conditions for allocative efficiency have been met.  
 B The conditions for productive efficiency have been met.  
☒ C The distribution of income is socially acceptable.  
 D The economy is operating at a point on its production possibility curve.

→ [Conditions of Efficiency]

- 3 A government decided to approve a road building scheme because it was socially beneficial. In making its decision it calculated private costs at \$800m, private benefits at \$800m and external costs at \$150m.  $SB > SC$

What must have been true about the external benefits of the scheme?  $EB > EC$

- A External benefits equalled private benefits.  
☒ B External benefits exceeded external costs.  
 C External benefits exceeded \$200m.  
 D There were no external benefits.

$$SC = PC + EC$$

$$800 + 150 = 950$$

$$SB = PB + EB$$

$$800 + 'x'$$

↓  
 'Must be greater than 150'

[ $MU_x > P_x$ ]

- 4 What is it called when a consumer's marginal utility is greater than the price paid for the good?

- A a Giffen good  $P_{rice} \uparrow QD \times \uparrow$   
 B an inferior good  $YED = -ve$   
☒ C consumer surplus  
 D producer surplus

(Above supply curve and below price) - producer's point of view

you are receiving greater satisfaction than the price being paid

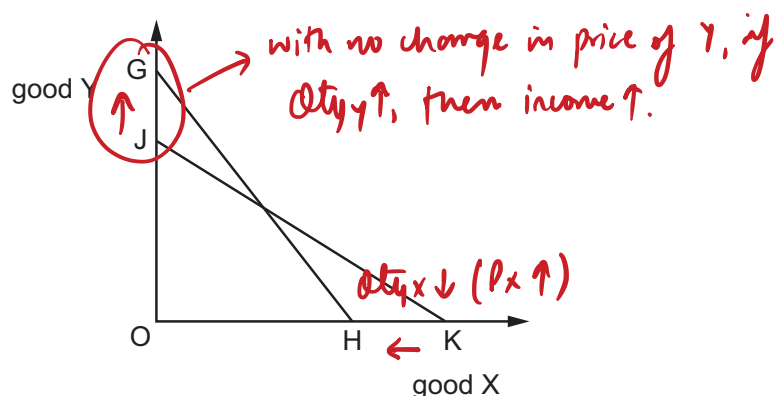
- 5 A consumer has \$3 to spend each day on chocolate bars or toffee bars, which all cost \$1 each.

The table below shows the units of additional satisfaction she gets from consuming each bar.

|                                     |                                     |                                     |
|-------------------------------------|-------------------------------------|-------------------------------------|
| 1 <sup>st</sup> chocolate bar<br>16 | 2 <sup>nd</sup> chocolate bar<br>13 | 3 <sup>rd</sup> chocolate bar<br>10 |
| 1 <sup>st</sup> toffee bar<br>14    | 2 <sup>nd</sup> toffee bar<br>12    | 3 <sup>rd</sup> toffee bar<br>9     |

What should she buy to maximise her total utility?

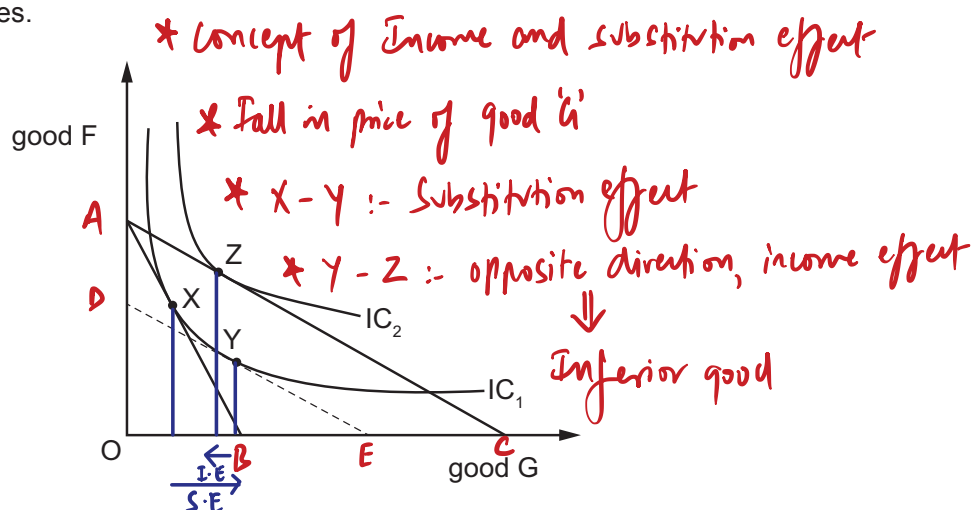
- A 1 chocolate bar and 2 toffee bars  $16 + 14 + 12 = 42$   
 B 2 chocolate bars and 1 toffee bar  $16 + 13 + 14 = 43$   
 C 3 chocolate bars  $16 + 13 + 10 = 39$   
 D 3 toffee bars  $14 + 12 + 9 = 35$
- 6 The curve JK in the diagram is a consumer's initial budget line.



Which combination could cause the budget line to shift to GH?

|   | price of good X | consumer's money income |
|---|-----------------|-------------------------|
| A | increase ✓      | increase ✓              |
| B | decrease        | decrease                |
| C | increase ✓      | decrease                |
| D | decrease        | increase ✓              |

- 7 The diagram shows a consumer's indifference curves (IC) for goods F and G together with the consumer's budget lines.



What could explain the movement from X to Z on the diagram?

- ☒ A a fall in the price of G when G is an inferior good (opposite direction)
- ☐ B a fall in the price of G when F is a Giffen good (I·E outweighs S·E)
- ☐ C a fall in the price of G when G is a normal good (same direction)
- ☐ D a fall in the price of G when G is a Giffen good (I·E outweighs S·E)
- 8 A firm has the choice between five levels of output. The table shows the total cost and total revenue of producing at each output level. The firm could sell whatever output it produces.

| ATC   | output (units) | total cost (\$) | total revenue (\$) | Profit |
|-------|----------------|-----------------|--------------------|--------|
| 8     | 1000           | 8000            | 10000              | 2000   |
| 6     | 2000           | 12000           | 18000              | 6000   |
| 6.333 | 3000           | 19000           | 24000              | 5000   |
| 5.75  | 4000           | 23000           | 28000              | 5000   |
| 5     | 5000           | 25000           | 25000              | zero   |

The firm decides to produce 4000 units.

What is the firm's aim?

- ☐ A to maximise profit (2000)
- ☐ B to maximise sales (5000)
- ☒ C to maximise revenue (TR = max)
- ☐ D to minimise average costs (5000)

**9** In which type of market structure are commercial banks usually found?

- A perfect competition, because they all link their interest rates to that of the central bank *No!*
- B perfect competition, because they offer identical products and services *No!*
- C monopolistic competition, because a competitive market prevents them making excess profits *No! They can always make profits*
- D oligopoly, because they are affected by the actions of other banks *(Interdependence)*

**10** What is a condition for operating a successful cartel?

- A** a large number of firms in the industry → *Small no. of firms required*
- B** each firm has a differentiated product → *same product*
- C** low barriers of entry to the industry → *High barriers required*
- D** strictly enforced production quotas → *Restricting output, prices ↑*

- A cartel is a group of independent market participants who collude with each other in order to improve their profits and dominate the market. Cartels are usually associations in the same sphere of business, and thus an alliance of rivals.

**11** Which assumption is essential for a market to be contestable?

- A** The market is supplied by a large number of firms. (No!)
- B** Firms are free to enter and leave the market.
- C** Firms cannot earn abnormal profits in the short run. (they can)
- D** Firms produce differentiated goods.

- In essence, a contestable market is one with firms facing zero entry and exit costs. This means there are no barriers to entry and no barriers to exit, such as sunk costs and contractual agreements. For a market to be perfectly contestable, relevant industry technology would be readily available to potential entrants.

'Divorce of Ownership and control'

**12** What is generally associated with the principal-agent problem?

- A** Directors prefer company growth to greater shareholder dividends.
- B** Managers ignore workers' concerns about safety in the workplace.
- C** Shareholders determine the price of products.
- D** Workers go on strike against managers' reorganisation plans.

- The principal-agent problem is a conflict in priorities between a person or group and the representative authorized to act on their behalf. An agent may act in a way that is contrary to the best interests of the principal.

- A widespread real-life example of the principal agent problem is the way companies are owned and operated. The owners (principal) of a firm will elect a board of directors. The board of directors monitor and guide the management team like C-Level executives (the agents).

→ Shareholders (Profit max level of output,  $MC=MR$ )  
Managers (Sales revenue maximization,  $MR=0$ )

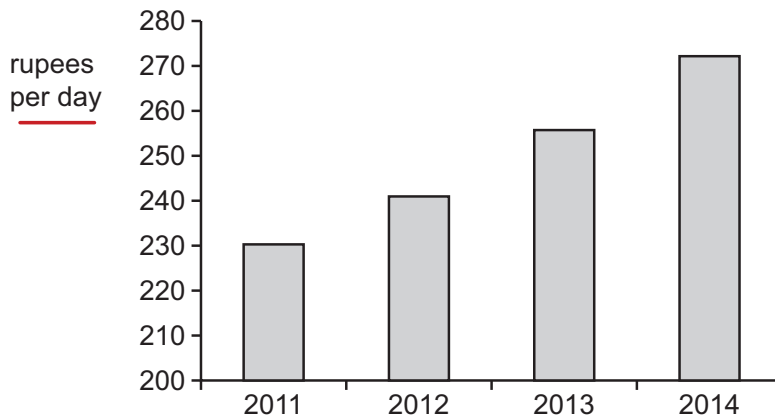
- 13 The table shows the output of chairs at a factory when different numbers of workers are employed.

|                           |   |   |    |     |    |    |
|---------------------------|---|---|----|-----|----|----|
| number of workers         | 0 | 1 | 2  | * 3 | 4  | 5  |
| number of chairs produced | 0 | 7 | 17 | 26  | 34 | 40 |

*MPL ↓      MPL      -      7      10      9*

When will diminishing marginal returns to labour set in?

- A When the second worker is employed.  
☒ B When the third worker is employed.  
 C When the fourth worker is employed.  
 D When the fifth worker is employed.
- 14 The chart gives information about the average daily wage rate for all industries in India.

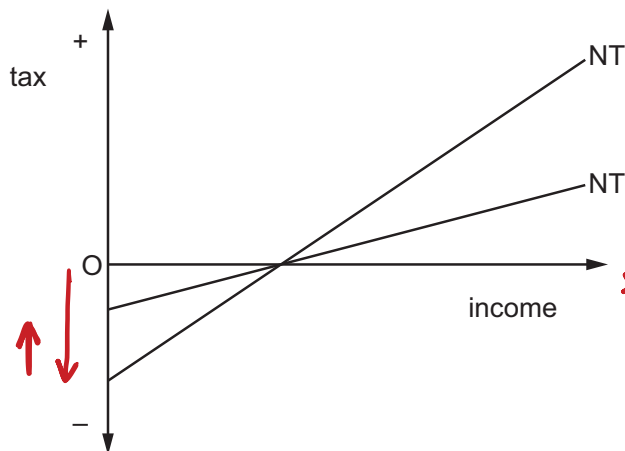


What could have caused this trend in wage rates?

- A an increase in capital-intensive production *Demand ↓, W ↓*  
 B an increase in the number of industrial workers *Supply ↑, W ↓*  
 C an increase in the number of people unemployed *Un ↑, Supply ↑, W ↓*  
☒ D an increase in the productivity of labour *ΔL ↑, W ↑*

15 A country has a negative income tax regime.

The curve NT in the diagram shows the country's initial tax schedule.



- The negative income tax is a way to provide people below a certain income level with money. In contrast to a standard income tax, where people pay money to the government, people with low incomes would receive money back from the government.

A change in the tax rate causes the schedule to shift to  $NT_1$ .

How will this affect work incentives and the after-tax distribution of income?

|                                       | work incentives | distribution of income |
|---------------------------------------|-----------------|------------------------|
| <input checked="" type="checkbox"/> A | strengthen ✓    | less equal ✓           |
| <input type="checkbox"/> B            | strengthen ✓    | more equal             |
| <input type="checkbox"/> C            | weaken          | less equal ✓           |
| <input type="checkbox"/> D            | weaken          | more equal             |

16 There is a fixed supply of skilled workers in an industry. Firms can no longer find enough workers to meet their demand for labour.

What could be a solution to the problem?

- ☐ A Allow wage rates to fall as the market demands.
- ☐ B Introduce work-sharing and reduce working hours.
- ☐ C Make offices more attractive by adding air-conditioning.
- ☒ D Provide more training courses for new recruits.

*This won't solve the issue of shortage*

*Supply ↑*

*[ Demand > Supply ]*

- 17 A government is worried about the increasing monopsony power of employers in the wage bargaining process.

Which policy combination is **most** likely to improve the wages and employment prospects of workers?

*Strong (wages ↑) (Employment ↑)*

|                                      | trade union powers | immigration controls | national minimum wage <span style="color: red;">→ wages ↑</span> |
|--------------------------------------|--------------------|----------------------|------------------------------------------------------------------|
| A                                    | strengthen ✓       | relax                | cut                                                              |
| <span style="color: red;">✓</span> B | strengthen ✓       | strengthen ✓         | raise ✓                                                          |
| C                                    | weaken             | relax                | cut                                                              |
| D                                    | weaken             | strengthen ✓         | raise ✓                                                          |

- 18 What is **not** a source of market failure?

- A imperfect information → Merit and demerit goods  
✓ B income inequality  
 C monopoly → Under allocation (Abnormal profits)  
 D non-excludability → Public goods

- 19 A government regards fresh fruit and vegetables as merit goods, and subsidises agriculture to boost their production.

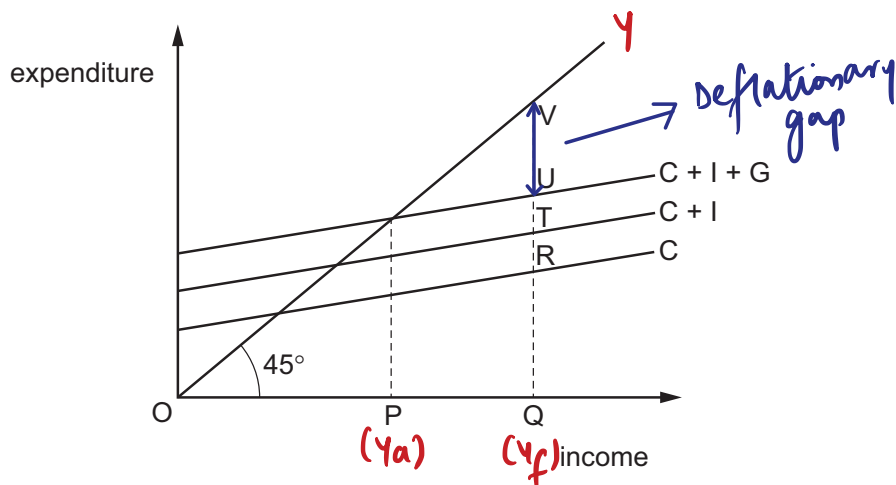
What could be a government failure arising from these subsidies?

- A cheaper fresh fruit and vegetables (Not a failure)  
✓ B land clearance reducing wildlife [Increase use of land]  
 C lower spending on treating dietary illnesses (It's opportunity cost)  
 D more jobs picking fruit and vegetables (Not a failure)  
Demand deficient unemployment

- 20 Which type of unemployment is associated with a deficiency in aggregate demand?

- ✓ A cyclical  
 B frictional (Mis match)  
 C structural (Fall in demand of particular industry)  
 D voluntary :- Voluntary unemployment is defined as a situation where the unemployed choose not to accept a job at the going wage rate.

- 21 In the diagram, OP is the equilibrium level of income and OQ the full employment level of income in a closed economy.



What is the deflationary gap?

- A PQ      B RV      C TV      ☒ D UV

- 22 What represents an injection into a country's circular flow of income?

- A corporate taxes *Tax = W*  
☒ B interest payments on government bonds *(Income generated)*  
 C the payment of dividends to foreign shareholders  
 D the repayment of bank loans
- } Money going out!*

- 23 What will be the most likely consequence of an increase in the dependency ratio?

- ☒ A a decrease in GDP per head *GDP / Total population*  
 B a decrease in labour productivity  
 C an increase in the labour force  
 D an increase in unemployment
- Doesn't fall into labour force or unemployment*
- less people contributing to GDP*

• The dependency ratio relates the number of children (0-14 years old) and older persons (65 years or over) to the working-age population (15-64 years old).

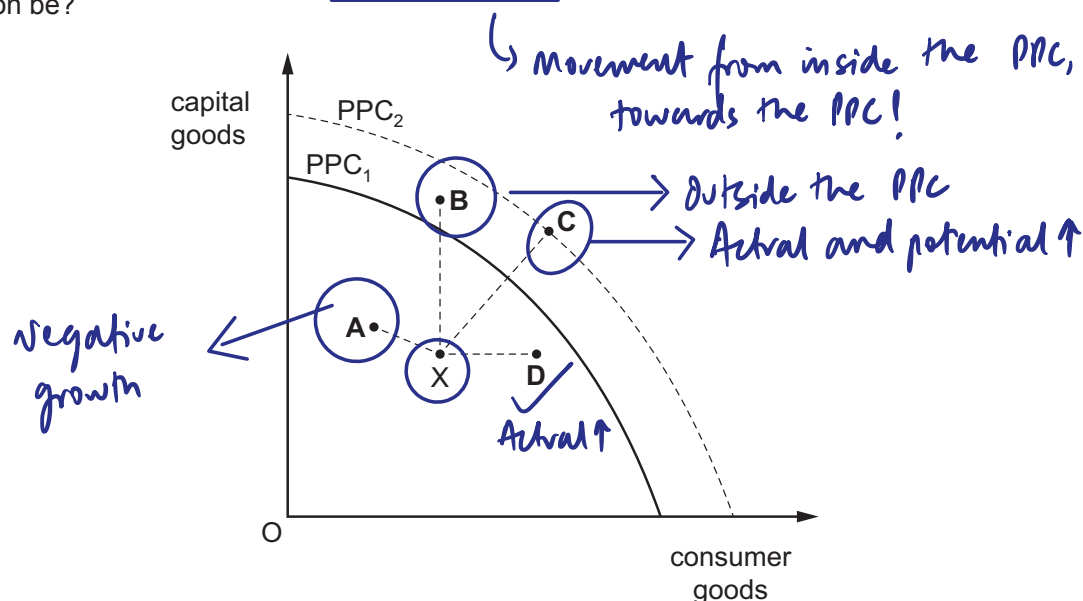
- 24 Which statement is correct?

- A Economic development is necessary for economic growth. *No, Economic growth is rise in output*  
 B Economic growth and economic development are directly proportional. *No!*  
☒ C Economic growth enables economic development. *Income generated → spent on Quality of life*  
 D Economic growth is always sustainable. *No!*

• Economic Development is the creation of wealth from which community benefits are realized. It is more than a jobs program, it's an investment in growing your economy and enhancing the prosperity and quality of life for all residents. Economic development means different things to different people.

- 25 The diagram shows a production possibility curve  $PPC_1$ . The economy is initially at point X.

If the economy achieves actual economic growth but not potential growth, what would the final position be?



- 26 It has been estimated by the United Nations that the total external debt of developing countries has been increasing by about \$425 billion each year.

What is least likely to have contributed to this?

- A disincentives for foreign direct investment through political instability *will reduce contributed*
- ✓ B increased government subsidies for the development of tourism industries *Positive statement*
- C withdrawal of multinational companies due to delays in the award of government contracts *Contributed*
- D worsening of the terms of trade with partners in developed economies *Imports raw-material X prices ↓, M prices ↑ Contributed*

- 27 The following are four conditions sometimes attached to IMF loans to developing countries.

Which condition would conflict with the 'infant industry' argument? *Protectionism*

- ✓ A the need to allow free trade *(specialization)*
- B the need to control inflation
- C the need to have a contractionary fiscal policy *AD ↓*
- D the need to privatise government enterprises *→ Encouraging more firms*
- same point* (bracketed next to B and C)

no fixed/managed

11

- A currency union (also known as monetary union) is an intergovernmental agreement that involves two or more states sharing the same currency. These states may not necessarily have any further integration (such as an economic and monetary union, which would have, in addition, a customs union and a single market).

28 In which exchange rate regime would the central bank of a country be best able to pursue an independent monetary policy to control the rate of inflation?

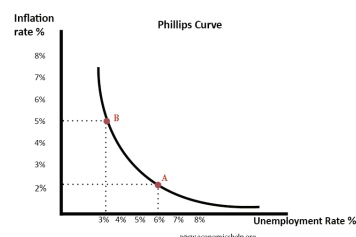
- ☒ A a freely floating exchange rate system
- ☐ B a system where the country's currency has a targeted value in relation to the US\$
- ☐ C a system where the central bank buys and sells foreign currency at a fixed rate (fixed)
- ☐ D where the country participates in a monetary union with other countries

lost control

y-axis

29 What is measured on the vertical axis of the Phillips curve?

- ☐ A the rate of change of real wages
- ☐ B the rate of change of take-home pay
- ☒ C the rate of inflation
- ☐ D the rate of interest



30 Workers in poor countries are often less productive than workers using the same technology in rich countries.

'Education'

What would be most likely to remedy this situation?

- ☐ A an increase in the saving ratio in poor countries
- ☐ B increased freedom of migration from poor countries to rich countries
- ☒ C increased investment in education in poor countries
- ☐ D the removal of trade barriers imposed by rich countries on imports from poor countries

They can't, doesn't have enough to spend on food.

(This won't solve the issue)

↳ this will increase specialization but cost of higher unemployment  
Dumping argument